The sequel not only bore out this criticism, which it was bound to do, but demonstrated also that where an *upper limit* of earnings or value is fixed, there is usually danger that the actual figure will be less than the maximum. The opening of the new subway lines coincided with a large increase in operating costs, due to war-time inflation; and also, as was to be expected, it diminished the profits of the older routes. Interborough Rapid Transit Company was promptly compelled to reduce its dividend, and it was omitted entirely in 1919. In consequence the holding company, Interborough Consolidated, suspended its preferred dividends in 1918. The next year it defaulted the interest on its bonds, became bankrupt and disappeared from the scene, *with the complete extinction of both its preferred and common stock*. Two years later Interborough Rapid Transit Company, recently so prosperous, barely escaped an imminent receivership by means of a "voluntary" reorganization which extended a maturing note issue. When this extended issue matured in 1932, the company was again unable to pay, and this time receivers took over the property.

During the ten-year period between the two receivership applications another earnings situation developed, somewhat similar to that of 1917.[8] In 1928 the Interborough reported earnings of $3,000,000, or $8.50 per share for its common stock, and the shares sold as high as 62. But these earnings included $4,000,000 of "back preferential" from the subway division. The latter represented a limited amount due the Interborough Rapid Transit out of subway earnings to make good a deficiency in the profits of the early years of operating the new lines. On June 30, 1928 the amount of back preferential remaining to be paid the company was only

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device to aid in unloading stock. These dividend distributions were not only unfair to the 4½% bondholders, but, because of certain prior developments, they were probably illegal as well. (Reference to this aspect of the case was made in Chap. 20.)

[8] See Appendix Note 56 for a concise discussion of the numerous anomalies in price between various Interborough System securities, *viz.*:

1. Between Interborough Metropolitan 4½s and Interborough Consolidated Preferred in 1919.
2. Between I.R.T. 5s and I.R.T. 7s in 1920.
3. Between I.R.T. stock and Manhattan "Modified" stock in 1929.
4. Between I.R.T. 5s and I.R.T. 7s in 1933.
5. Between Manhattan "Modified" and Manhattan "Unmodified" stock in 1933.